# Loan Closure, Prepayment and No-Dues Certificate Policy

**In short.** A loan closes when every EMI has been paid, whether on schedule, early, or through an approved one-time settlement. There is **no prepayment or foreclosure charge**. Once your loan shows no EMIs left, ask for a **closure certificate** (also called a no-dues certificate or NOC): the request goes to our team, who check the account and issue it. For a loan secured on a vehicle or equipment, we also release the charge on the asset and return any original documents within 30 days of full repayment.

## 1. When a loan is closed

| Route | When the loan closes |
|---|---|
| Paid to schedule | When the last EMI in the repayment schedule is paid. |
| Paid early | When extra payments have paid off every remaining EMI. You can ask our assistant what is still owed (the remaining balance is the total of the EMIs left) and pay it through a payment link or a transfer. |
| One-time settlement | When the settlement amount approved by our team is received in full (policy BFF-POL-04). |

Late payment charges still owed are not part of the EMIs and are payable separately. Our team tells you if any charge is still owed before the closure certificate is issued.

## 2. Prepayment and foreclosure

- No prepayment charge, foreclosure charge or penalty is levied on any of our business loans, whatever the amount and whenever it is paid.
- A part-prepayment is credited towards your next EMI unless you choose to reduce the EMI or the tenure with it (policy BFF-POL-02, section 7).
- Prepaying in full is different from a one-time settlement: a full prepayment pays the whole remaining balance with no discount and needs no approval; a settlement gives a 5% discount on the remaining balance but must be approved.

## 3. Closure certificate (no-dues certificate)

### 3.1 How to ask for it

Ask our assistant for your closure certificate or NOC, in the chat or in Telegram. It checks your loan:

- If EMIs are still left, it tells you how many, and that the certificate can be issued once they are paid.
- If no EMIs are left, it sends the request to our team and gives you the request's reference. The assistant cannot create or send the certificate itself.

### 3.2 What our team does

1. Confirms that every EMI and every charge on the loan has been paid or waived.

2. Issues the closure certificate stating the loan number, your name and business name, the loan amount, the date of the last payment and that nothing remains payable on the loan.
3. Updates your record with the credit information companies to show the loan as closed.
4. Replies on your request, which you can see under *My requests*.

## 4. Loans secured on a vehicle or equipment

Where your loan is secured by hypothecation of a vehicle or of equipment, the charge in our favour is removed after closure:

- **Vehicles.** We issue a No Objection Certificate and Form 35 signed by us, so that you can apply to the Regional Transport Office to remove the hypothecation entry from the registration certificate.
- **Equipment and other assets.** We release the hypothecation and, where a charge was registered (for example with the Registrar of Companies or the CERSAI registry), we file for its satisfaction.
- **Original documents.** Any original document you deposited with us is returned, at the branch or office you choose, within **30 days** of full repayment, as the Reserve Bank of India's directions on the release of documents require. If we delay beyond 30 days for a reason attributable to us, we compensate you at ₹5,000 for each day of delay. If an original document is lost or damaged while with us, we help you obtain a certified copy and bear the cost.

## 5. After closure

A closed loan receives no reminders. Your conversation history, payments and requests stay available to you and to our team for the period the law requires us to keep loan records. If you take another loan with us, it is a separate loan with its own number; in Telegram, one chat can hold all your loans and you switch between them with /loans.